

CHAPTER 11: STOCK BUYBACKS: ACCELERATE RETURNS

WHAT IS A “TONTINE”?

If you think a tontine is a rich French pastry, you’re half right. It is indeed French. But a tontine is not a pastry.

It is, instead, a tactic for amassing riches that is both legal and non-fattening. But first, I’d like to tell you about a guy named Lorenzo Tonti, from whom the word — tontine — derives.

Imagine the scene. The year is 1652. The place: France, during the reign of the House of Bourbon. King Louis XIV broods on his throne. The French treasury is bare.

Meanwhile, there is an ongoing war with Spain, and he needs money to continue it.

He invites Lorenzo de Tonti, a banker from Naples, to his decadent court. Tonti has an idea.

“Let us have citizens invest in shares of a government-run pool,” Tonti suggests. “We will pay regular dividends to them from the pool. But they cannot transfer or sell their shares. And when they die, they lose their shares. We cancel them.” Tonti’s eyes narrow, and he tugs thoughtfully at one of his whiskers.

“Yet,” Tonti continues with eyebrows arched, “we promise to pay the same amount regardless of how many shares remain. So as each shareholder dies, the remaining shareholders get more and more of the earnings of the pool. That reward will prove a great pull for investors and will raise the funds you seek.”

The king stirs.